The silver denarius, introduced by Emperor Augustus at the end of the first century BCE, which was 95 per cent silver, had continued for almost two centuries as the medium of exchange across the Roman Empire. By the third century CE, the Roman treasury was bankrupt and successive emperors kept reducing the percentage of silver in the denarius, till it was nothing more than a bronze coin dipped in silver. Prices during this period rose by nearly 1,000 per cent in many parts of the Roman Empire.

Emperor Diocletian finally abandoned the denarius in 294 CE. Constantine, the first Christian Roman emperor, tried to address this situation by issuing a new gold coin in 312 CE called the solidus – solid gold – which was struck 72 coins to a pound of gold. Over time, the government began collecting taxes and paying soldiers in gold, and thus the gold standard was strengthened and became the 'real' money of the Roman Empire.

Emperor Constantine's demonetization succeeded. Sadly, however, this situation did not last. While soldiers and bureaucrats were paid in gold and thus protected against the effects of inflation, the ordinary citizen had to struggle with an increasingly unjust and corrupt tax system to finance the profligacy of successive emperors. By early fifth century, the Roman Empire was in terminal decline. In the opinion of the Christian priest Salvian of Marseille, the Roman state was in a state of collapse because it deserved collapse; because it denied the first premise of good government, which was justice to the people.

A prophetic and cautionary message for all governments!

China During the Yuan Dynasty and from 1948–49[22]

Paper currency was first introduced in China during the Tang dynasty (618–907 CE) as privately produced promissory notes, which were exchanged by merchants across the Silk Road.

However, 'official' paper currency was only introduced by the Song dynasty (960–1279 CE). The first government-backed notes called